

Due Diligence Questions

Eleven items we need answered in writing before signing a residence and care agreement. Several are disclosures California law already entitles us to receive.

COMMUNITY

REPRESENTATIVE

DATE

UNIT / FLOOR PLAN DISCUSSED

We are comparing two California Life Plan communities for a married couple where one spouse is independent and one is expected to need a higher level of care in the near term. Because of that, the care-cost provisions matter to us more than the price of the apartment. Please answer in writing rather than verbally — we are keeping a written file for both communities.

ELIGIBILITY AND CARE STRUCTURE

01 Given the specific diagnosis and care profile we have shared, does she qualify for your standard contract in independent living? **ANSWER FIRST**

If not: what exactly is offered instead, in which level of care, and at what entrance fee and monthly fee?

RESPONSE

02 What precisely does the Residence & Care Agreement provide when a resident moves to assisted living, memory care, or skilled nursing?

Is there a fee cap, a lifetime benefit, a Type A life-care provision, a Type B modified provision — or a percentage discount off prevailing rates? Please cite the clause.

RESPONSE

03 Is there a licensed skilled nursing facility on this campus?

Licence number, licensing agency, bed count, and current CMS star rating. If there is none, what happens when nursing-home-level care is required?

RESPONSE

04 If one spouse moves permanently into a higher level of care, what happens to the entrance fee and to the second-person fee?

Is a second entrance fee charged? Does the second-person monthly fee cease?

RESPONSE

ENTRANCE FEE AND REPAYMENT

05 What is the exact repayment percentage, and what triggers repayment — resale of our specific unit, or our position in a queue? **SB 939 DISCLOSURE**

Please also state the average and the longest time you have taken to repay over the last five calendar years, as Health & Safety Code requires contracts to disclose.

RESPONSE

06 For the specific unit number we are discussing, what is the exact monthly fee?

Not the "starting at" figure. Please confirm whether any premium-home uplift applies to this unit.

RESPONSE

07 What have your monthly fee increases been for each of the last ten years, as percentages?

Year by year, not an average.

RESPONSE

THE RESIDENCE

- 08 What is the exact square footage of each two-bedroom floor plan, and may we have the floor plan for every one you are quoting?

We have been quoted on plans for which no drawing was provided.

RESPONSE

- 09 Parking and storage: how many spaces per residence, garage or surface, assigned or unassigned, included or charged separately?

And what separate storage is available, at what monthly cost? We are coming from a home with a two-car garage.

RESPONSE

THE ORGANISATION

- 10 What was caregiver turnover over the last twelve months, and what percentage of shifts is currently filled by agency staff?

Independent living, assisted living and memory care separately, if you track them separately.

RESPONSE

- 11 May we have your most recent audited financial statements and your CDSS annual disclosure — and what is your written policy if a resident outlives their assets?

Benevolence fund, non-eviction commitment, or neither. For communities still filling: current occupancy and the fill-up schedule.

RESPONSE

Prepared as part of a family comparison of two California Life Plan communities. Items 5 and 11 reference disclosures required or contemplated under California Health & Safety Code provisions governing continuing care contracts, including SB 939 (2016). We would appreciate a written response before scheduling a further visit.